

Chapter 4

The Taxonomy of Cryptoassets

As we've seen, bitcoin ignited the cryptoasset revolution, and its success has led to the birth of numerous other permissionless (public) blockchains with their own native cryptoassets. We also refer to these as bitcoin's digital siblings. As of March 2017, there were over 800 cryptoassets with a fascinating family tree, accruing to a total network value¹ of over \$24 billion.² At the time, bitcoin was the largest and most widely transacted of these assets by a wide margin, with a network value of \$17 billion, accounting for nearly 70 percent of the total network value of cryptoassets. The next largest cryptoasset by network value was Ethereum's ether at over \$4 billion. Yes, the numbers have changed a lot since. Crypto moves fast.

As the investment landscape for cryptoassets continues to grow beyond bitcoin, it's vital for the innovative investor to understand the historical context, categorization, and applicability of these digital siblings, so that potential